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Shopify Equity Research


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Meta Enterprise May Not Affect SAP, Workday, ServiceNow: React

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(Bloomberg Intelligence) -- RECENT EVENT REACTION: System-of-record enterprise software companies such as SAP, Workday and Shopify will unlikely feel a financial impact from Meta's enterprise push. These firms are critical to large enterprises for their core operations embedded across multiple processes and aren't easy to replace. Shopify has the largest exposure to smaller businesses and could face competition if Meta decides to focus on this end market, but we expect any impact on its base to be limited given its own aggressive AI push. Salesforce may face pressure among its smaller clients if Meta decides to be more aggressive with conversational AI agents in customer service through WhatsApp for Business. ServiceNow may also see more competition in IT workflows on the lower end of its client base, and less on larger enterprises given the complexity of their workflows. (09/28/26)

1. Shopify Can Use AI to Grow With Larger Merchants: Equity Outlook

THESIS: Shopify's AI and offline investments make the platform more attractive to larger merchants, which we expect will become the next big sales-growth driver. Enterprise merchants can deliver more stable, higher-value revenue streams and help reduce cyclicality, though they also weigh on gross margin because of lower take rates. Agentic AI will likely become a larger theme in the next 12-24 months, enabling buyers to search across multiple Shopify stores simultaneously, strengthening network effects. Operating margin may widen this year, with efficiency gains from internal AI offsetting a bigger sales mix of lower-margin payments. (08/05/26)

Financial Review

Earnings

2. Shopify Tight Expense Control to Aid Cash Flow: Earnings Outlook

Post-2Q Earnings Outlook: Shopify's disciplined cost management will likely drive a higher cash flow margin in 2H, even as gross margin compresses from the changing revenue mix. Shopify's 2Q sales-growth beat -- up 33% in constant currency -- and above-consensus 3Q outlook imply a greater market-share shift than rivals Salesforce, SAP and Oracle, which is likely driven by recent higher AI investments. Management highlighted many large merchant migrations on the call, which is the main reason for our thesis of Shopify continuing to grow well above the industry for the medium term.

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Bloomberg Intelligence

Consensus 3Q gross margin of 48.2% seems high given the possibility of 30% plus growth in the merchant solutions segment, which has lower gross margin compared to the other segment, subscription solutions. Our analysis suggests a 3Q figure closer to 47%. (08/05/26)

Highlights From Recent Results:

- Revenue Up 33% in Constant Currency (CC) to $3.6 Billion, Above Consensus' 29% and 2Q25's 30%
- Free Cash Flow Increased 25%, With FCF Margin Up to 18% From Last Year's 16%
- Non-GAAP Operating Margin Was 17% vs. 16% Last Year
- Monthly Recurring Revenue Rose 19% to $221 Million, Gross Merchandise Volume Climbed 32%
- Subscription Solutions Up 22% in CC vs. 16% in 2Q25; Merchant Solutions Gained 35% vs. 36% Last Year

Additional Resources:

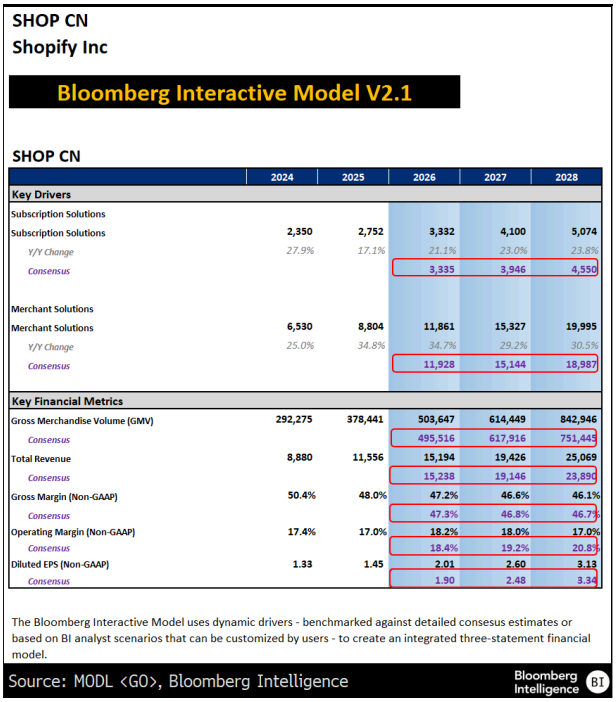
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCV »

Long-Term Drivers

3. Shopify Large-Merchants Focus to Drive Steady Market Share Gains

Shopify's increased focus on larger merchants, business-to-business (B2B) offerings and international expansion could help it continue to outgrow the broader e-commerce market. Its early foray into embedding more AI features across its product suite could also help expand its total addressable market as consumers start to buy more products through AI applications. Though B2B and international expansion remain multiyear initiatives, increasing penetration among larger merchants supports sustained sales growth above 20% for at least the next two years, according to our analysis. As gross merchandise value (GMV) from larger merchants becomes a larger portion of total transactions, we anticipate the take rate to steadily decline. Companywide gross margins could also see a modest decline each year as payments continue to become a bigger part of overall sales. (06/30/26)

Bloomberg Interactive Model (Click to Open)



SHOP CN
Shopify Inc

Bloomberg Interactive Model V2.1

SHOP CN

	2024	2025	2026	2027	2028
Key Drivers					
Subscription Solutions					
Subscription Solutions	2,350	2,752	3,332	4,100	5,074
Y/Y Change	*27.9%*	*17.1%*	*21.1%*	*23.0%*	*23.8%*
Consensus			3,335	3,946	4,550
Merchant Solutions					
Merchant Solutions	6,530	8,804	11,861	15,327	19,995
Y/Y Change	*25.0%*	*34.8%*	*34.7%*	*29.2%*	*30.5%*
Consensus			11,928	15,144	18,987
Key Financial Metrics					
Gross Merchandise Volume (GMV)	292,275	378,441	503,647	614,449	842,946
Consensus			495,516	617,916	751,445
Total Revenue	8,880	11,556	15,194	19,426	25,069
Consensus			15,238	19,146	23,890
Gross Margin (Non-GAAP)	50.4%	48.0%	47.2%	46.6%	46.1%
Consensus			47.3%	46.8%	46.7%
Operating Margin (Non-GAAP)	17.4%	17.0%	18.2%	18.0%	17.0%
Consensus			18.4%	19.2%	20.8%
Diluted EPS (Non-GAAP)	1.33	1.45	2.01	2.60	3.13
Consensus			1.90	2.48	3.34

The Bloomberg Interactive Model uses dynamic drivers - benchmarked against detailed consesus estimates or based on BI analyst scenarios that can be customized by users - to create an integrated three-statement financial model.

Source: MODL <GO>, Bloomberg Intelligence

Bloomberg Intelligence BI

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Focus Idea

Robust Market Share Gains

Shopify's AI Edge to Fuel More Market-Share Gains: BI Focus

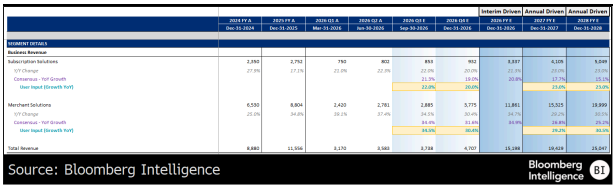
Shopify's sales growth should accelerate over the next 12-24 months on its early AI focus, with our calculations putting 2028 sales $1.1 billion above consensus' $23.9 billion. Our thesis assumes a wider gap in product functionalities compared with rivals driving more enterprise wins, increased wallet-share of consumer spending on Shopify's niche merchants and early investments in agentic commerce. (09/24/26)

4. Street Underappreciates Early AI Investments

Shopify stands apart from other software vendors in terms of its AI-disruption risk, and a sales model that's less dependent on seats and consumer spending. Early AI investments should drive a greater market-share shift over the next two years, which we believe isn't reflected in Street estimates. Our calculations suggest sales will exceed $25 billion in 2028, or $1.14 billion above consensus. We also expect Shopify to lead the industry in agentic commerce, which could become an important growth vector in the coming years.

Our model assumes merchant solutions can average a 30% growth rate over the next two years, and subscription unit sales rising 23% a year through 2028. In total, we expect 2027-28 sales growth to be in the high-20s, which isn't evident in most software providers of Shopify's size. (09/24/26)

BI Scenario (Click to Open)



5. Catalysts Include AI, Market-Share Gains

We believe these catalysts could act as important triggers for this idea in coming months. (09/24/26)

Timeline of Key Catalysts:

- November 2026: 3Q Results Could Show Enterprise Wins, GMV Growth Accelerating as Shopify Takes More Commerce Share From Larger Software Rivals
- February 2027: 4Q Results, 2027 Commentary Could Point to Sustained High-20s Sales Growth as Enterprise Migrations Build
- May 2027: Merchant-Solutions Growth Could Accelerate as AI Tools, Agentic-Commerce Integrations Start Driving More Traffic, GMV
- August 2027: 2Q Results Could Show Subscription-Solutions Sales Growth Accelerating, Supporting Our View That Enterprise Wins Are Expanding Shopify's Revenue Base
- February 2028: 2027 Results Could Put Shopify on Track for Our 2028 Sales Scenario Above $25 Billion, About $1.1 Billion Ahead of Consensus

6. Muse Integration Shows Early Agentic Leadership

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Bloomberg Intelligence

Shopify's decision to integrate Meta's Muse into all Shopify stores with Shop Pay shouldn't change its core per-unit economics (subscription and base payment processing) as agentic commerce expands, provided transactions continue to flow through its back-end checkout architecture. The move is in line with its philosophy of being marketplace- and channel-agnostic when being so benefits its merchants. If a single buying channel -- such as Meta's Muse or OpenAI -- achieves front-end dominance, that platform will likely demand a larger cut on agentic sales, which Shopify may or may not be able to pass on to the merchant. However, we expect increased competition from Amazon.com, Google and Apple to prevent any single agentic channel from controlling high-end consumer traffic. (09/24/26)

Shopify CEO Post



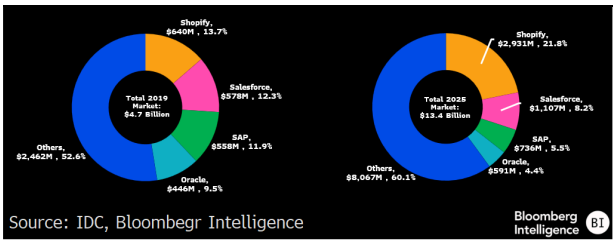
7. Expect More Market-Share Gains From Salesforce, Others

Shopify's product investments over the past few years -- including offline POS and, most recently, Sidekick (AI assistant) -- have further widened the functionality gap it has with rivals Salesforce, Adobe, Oracle and SAP. Moreover, for all the bigger rivals, commerce software isn't the core product, and less of a priority compared with Shopify. As CTOs evaluate tech stacks, we expect Shopify's lead to widen further over the next few years, driving greater migration, especially as the cost to shift vendors drops. This will likely be the biggest near-term growth driver, as each large merchant shift brings much higher gross merchandise volume on Shopify's platform, the key catalyst of sales growth. (09/24/26)

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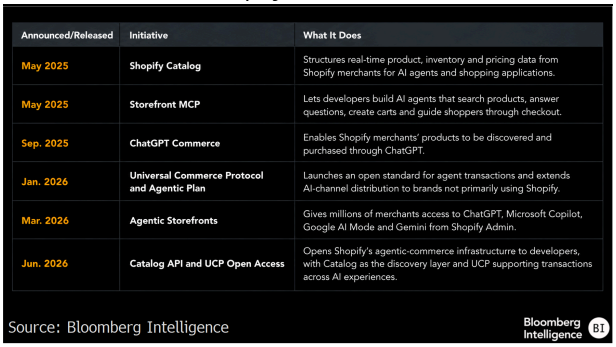
Digital Commerce Applications Market Share (%)



8. Early Lead in Agentic Commerce Including Catalog

Shopify stands out as one of the few software firms that aggressively embraced AI infusion across most of its products and processes, which we believe will be key to faster sales growth vs. the overall e-commerce market. In addition to its AI assistant Sidekick -- which helps merchants from store design to pricing strategies to reporting -- Shopify has been at the forefront of agentic commerce with early integrations to ChatGPT, Gemini and Meta. Its real-time product catalog designed specifically for LLMs has the potential to further amplify niche products sold by its merchants, driving higher sales volume on its platform. (09/24/26)

Shopify AI Releases



9. Preferred Commerce Platform for Entrepreneurs

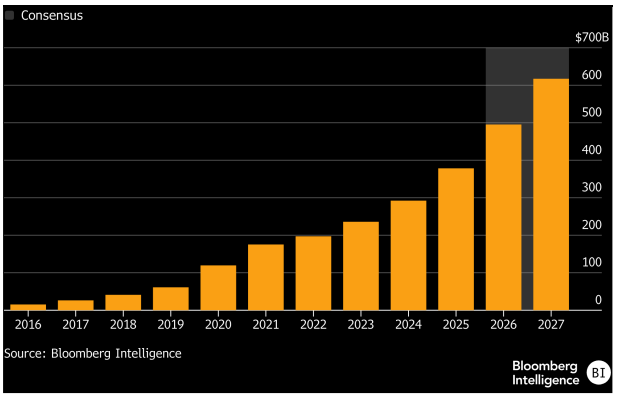
Shopify remains the top commerce operating system for entrepreneurs that can get enterprise-grade capabilities from multi-channel selling to cross-border infrastructure to Shop Pay. Prior to enterprise migrations, this was Shopify's main growth driver, which we expect to remain a key differentiator in the coming years. In a recent conference, Shopify disclosed that 40% of merchants on its platform were from those founders that had started two to four businesses before highlighting the stickiness of its product, despite the high churn rate of smaller businesses. (09/24/26)

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Bloomberg Intelligence

Gross Merchandise Value (GMV)



Key Topics

Meta Enterprise's Thin Impact

Software Disruption Fears Appear Overstated From Meta Enterprise

Contributing Analysts Sonal Gupta (Technology)

Meta's enterprise push puts customer-service, marketing-automation and IT workflow providers at greater risk than core systems of record or large cloud providers. SAP and Workday's embedded data and workflows, Shopify's integrated commerce stack and Azure and AWS' scale create high replacement barriers. Nice, Genesys, Zendesk and some vendors serving smaller businesses will contend with greater competition if Meta uses WhatsApp and other engagement surfaces to separate user interaction from underlying enterprise systems. ServiceNow's core enterprise business appears less exposed. (09/29/26)

10. Core System-of-Record Vendors Least Exposed

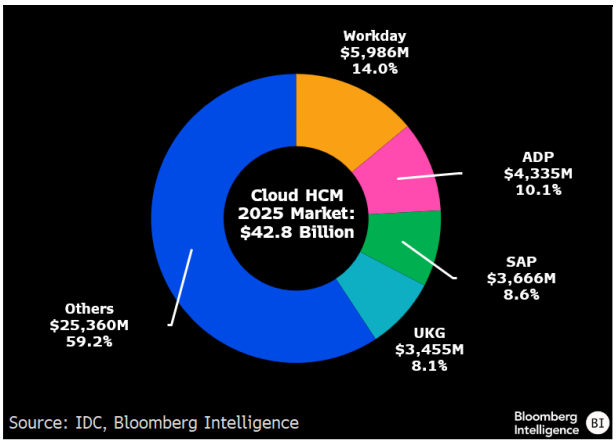
Enterprise software firms such as SAP and Workday, which provide mission-critical systems of record for finance and HR and have high market share in the respective categories, are among the least likely to see a noticeable effect from Meta's enterprise push. Their applications are deeply embedded across core business processes, contain critical enterprise data and workflows and are difficult and costly to replace.

Meta is positioned to compete at the employee-facing agent or workflow layer, while the underlying systems of record remain relatively insulated. (09/29/26)

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Cloud Human Capital-Management Market Share 2025

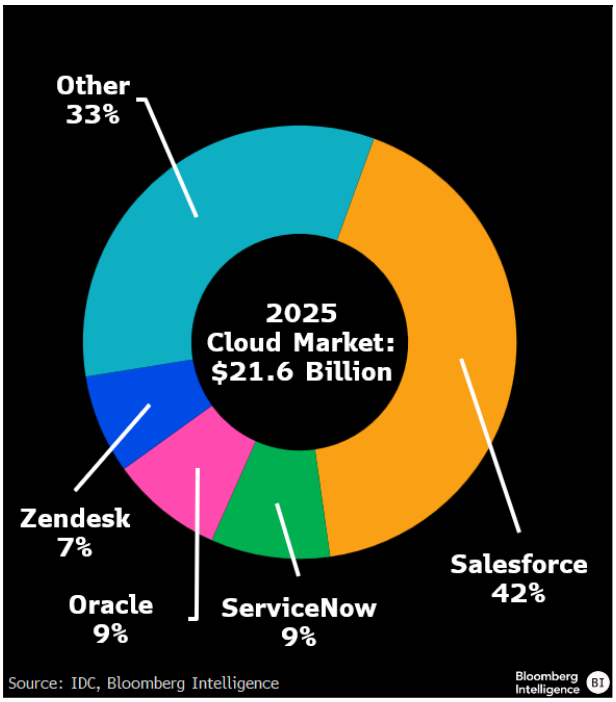


11. Some Exposure to Marketing Automation, CX Firms

Customer service, especially for smaller businesses, faces increased competition with the launch of Meta Enterprise Platform. Companies selling AI-native chatbots like Sierra, Decagon or Fin (now part of Salesforce), or messaging platforms such as Microsoft Teams and Salesforce's Slack, face greater competition from a business version of WhatsApp, which is already a credible and secure system of engagement.

The rising chance of disaggregation between a system of record and a system of engagement gives Meta a chance to grab market share as a viable option for corporations, especially smaller ones. Such a move is likely to affect market share for providers like Nice, Genesys and Zendesk, as well. (09/29/26)

Cloud Customer-Service Market Share



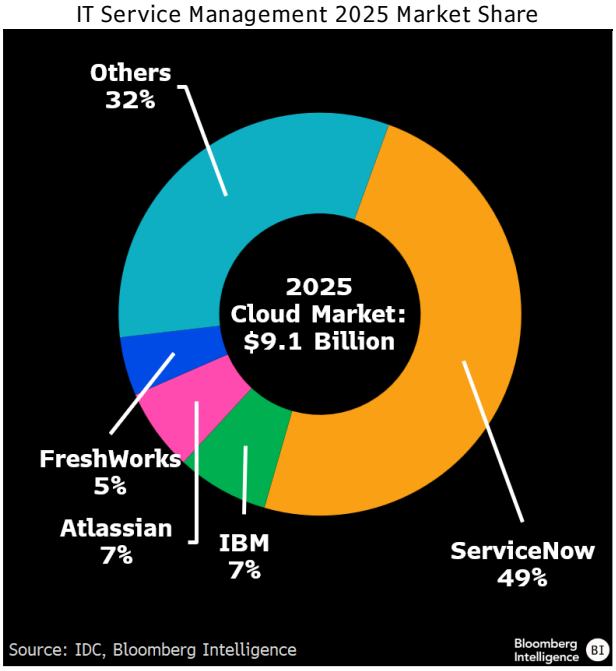
12. IT Workflows May Also See More Competition

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IT service and operations management for small and medium-sized businesses (SMBs) is another area facing disruption, based on the same separation between where business logic and data are stored and how customers interact with them. Leading providers include ServiceNow, BMC, Atlassian, Freshworks, Microsoft and AI-native companies like Serval. ServiceNow may face more competition among SMBs, but we expect less impact on its core enterprise business given its workflows' complexity. (09/29/26)

IT Service Management 2025 Market Share

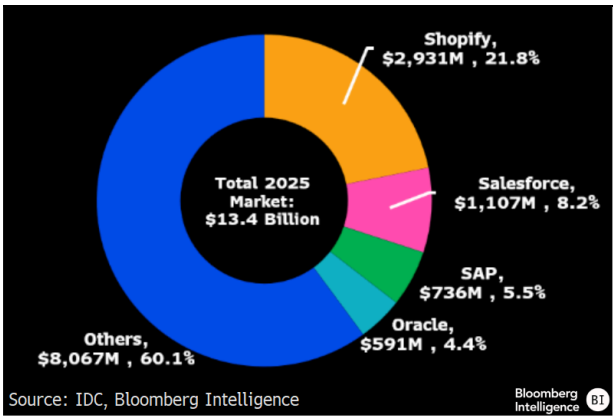


13. Shopify's Leading Position Unlikely to Change

Shopify has the greatest exposure to smaller businesses in our coverage, but we expect the impact from Meta to be limited to add-on services like marketing automation or advertising sales. Given that Shopify acts as an integrated software provider that offers multiple services, including payments, order management, inventory, tax compliance and shipping features, Meta will have to invest heavily to match its features. Moreover, we expect Meta to be an important distribution partner for its merchants through Muse, Instagram or Facebook.

Marketing-automation software providers such as Salesforce, Adobe and Oracle are also exposed, but these products aren't material to total sales. (09/29/26)

Digital Commerce Applications Market Share (%)



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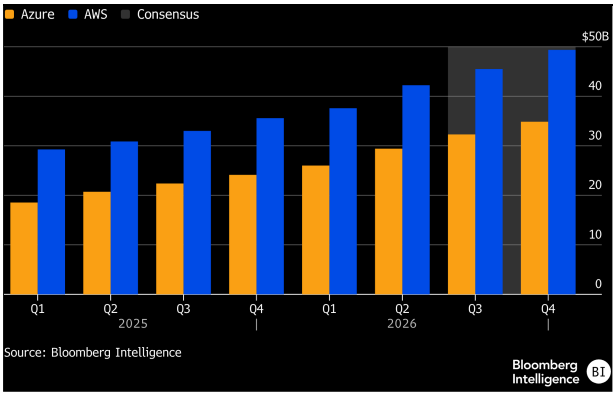
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14. Little to No Effect on Microsoft Azure, AWS

Meta's enterprise push is unlikely to significantly dent Microsoft Azure or Amazon Web Services in the near term, given their size, broad service portfolios and entrenched customer relationships. Azure has a revenue run rate of about $118 billion and AWS around $170 billion, while both offer networking, security, databases and other services that may take Meta years to replicate.

Even if Meta decides to focus solely on renting graphics-processing units, the impact on cloud-infrastructure providers will likely be limited, given massive backlogs of contracted work on their balance sheets. Among the four largest hyperscalers, Oracle might be the most exposed. (09/29/26)

Azure and AWS Revenue ($)



Low Risk of AI Disruption

Shopify's AI-Disruption Risk Lower Than Peers; Contribution High

Shopify's low AI-disruption risk and high AI opportunity position it to gain market share even as agentic commerce reshapes online shopping. Its role as merchants' system of record, elevated switching costs and volume-linked model limits the threat from large-language models. A founder-led AI culture, early tools like Sidekick and investment in product discovery and agentic checkout can widen its advantage over bigger software rivals and new entrants. (08/12/26)

15. Low AI-Disruption Rank in BI Framework

Shopify is ranked as a business at "low risk" of AI threat in Bloomberg Intelligence's disruption framework. Our matrix looks at factors including the critical nature of the software, the provider's market share, network effects, whether the company is a platform or a point-product provider and if end customers are consumers and small businesses or large corporations. We expect a low chance of both small- and large-merchants developing new in-house integrated commerce operating systems that include payments, order management, inventory, tax compliance and shipping features, especially if the merchant has international presence or ambitions.

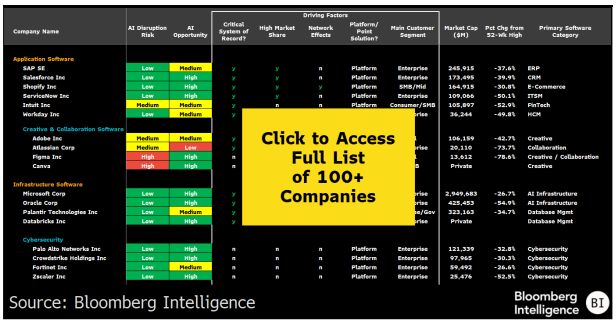
It is the core system of record for commerce-related activities for millions of stores, from payments to inventory to order history. These workflows are highly deterministic in nature and have high switching costs making it difficult for LLMs to replicate.

We also rank Shopify as "high" in AI opportunity, given we believe its early foray in AI tools will help grab more market share from larger incumbents like Salesforce, SAP, Oracle and Adobe, for whom commerce software is less of a priority. We also expect Shopify to be the software provider of choice for new AI-led businesses formed. (08/12/26)

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AI-Disruption Risk, Opportunity Table



16. AI-First Culture Led by Founder and CEO

Shopify co-founder and CEO Tobi Lütke has shaped the company's merchant-focused culture. Under his leadership, we expect Shopify to keep investing heavily in AI as competition intensifies. Since its inception, Shopify has evolved from website-building software into a broader commerce operating system, gaining market share from much larger rivals as its product capabilities expanded. Lütke was among the first CEOs of an incumbent software provider to make AI use a "baseline expectation" for employees and require teams to demonstrate that large language models can't perform a task before requesting additional head count.

He's actively involved in new product development, and we believe Shopify will lead the agentic-commerce shift because of his commitment. The company was among the first to launch a merchant assistant (Sidekick) to help stores with day-to-day operations from pricing to discounts to product updates. (08/12/26)

Shopify Sees AI Multiplying Its Merchant Ambition

"Our job is to figure out what entrepreneurship looks like in a world where AI is universally available. And I intend for us to do the best possible job of that, and to do that I need everyone's help. I already laid out a lot of the AI projects in the themes this year -- our road map is clear, and our product will better match our mission. What we need to succeed is our collective sum total skill and ambition at applying our craft, multiplied by AI, for the benefit of our merchants."

Tobi Lütke - CEO, Shopify
Shopify Internal Memo, April 2025

Click to view the tweet

17. Volume-Driven Model Unlike Most SaaS Providers

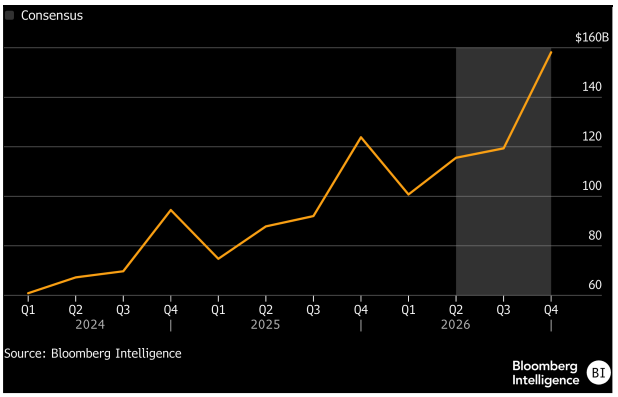
The bulk of Shopify's sales aren't tied to the traditional seat-based model prevalent in most software-as-a-service companies but generates a fee on the volume of business transacted on its platform. Though the rest of the industry is focused on selling higher-priced SKUs to its enterprise clients, Shopify's incentives are aligned with its customers as the software provider makes more money only when clients sell more products.

Since its inception, Shopify has focused on reducing the operational friction for merchants, first with the launch of an app store that let third-party developers create new features for stores on the platform. Shop Pay is another example that's helped faster checkout and increase conversion for its merchant base. (08/12/26)

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Shopify Gross Merchandise Volume ($)



18. Likely to Lead Industry in Agentic-Commerce Shift

Shopify's early investment in agentic shopping can help it become the leader in this next commerce shift as consumers start buying more products directly in AI applications like ChatGPT, especially with its aggressive push in discovery and agentic transactions. The company created a catalog of more than 1 billion products from select merchants, using structured product data to match an agent's request. This enables more complex discovery than traditional keyword searches. For transactions, Shopify and Google created the open Universe Commerce Protocol (UCP), which lets agents complete checkout, including discounts, taxes, shipping and multiple payment methods. (08/12/26)

Shopify's AI Shopping



19. Competition Unlikely to Match AI Investment

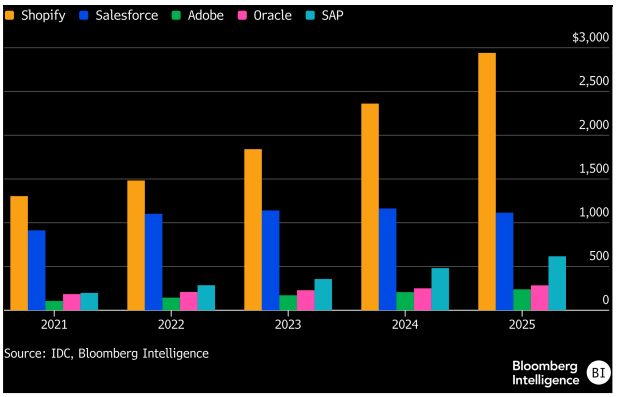
Shopify's main competitors Salesforce, SAP, Oracle and Adobe are grappling with much bigger issues in their core markets and don't have the same incentive or financial flexibility to reinvest heavily in the Commerce software portion of their business which for all of them is well below 5% of their overall sales, IDC data show.

In the past two years, Shopify has gained market share at a far faster clip, which we attribute to its aggressive AI investment and lower cost of ownership to the end customer. We expect this shift to persist and even accelerate once agentic commerce becomes mainstream. (08/12/26)

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Digital Commerce Revenue ($)



2027 Growth of 24%-28% Likely

Shopify's Strong AI Push Can Fuel 24-28% Sales Growth in 2027

Shopify's early investments in embedding AI across its products will likely propel additional market-share gains, with our calculations suggesting sales 24-28% sales growth in 2027, well ahead of peers. Larger merchants are set to play a much bigger role in adding more gross merchandise volume to the platform, driven by its unified commerce approach that not only provides new AI capabilities to merchants but lowers their costs. (08/11/26)

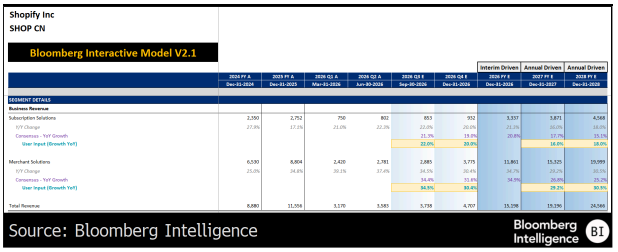
20. Above-Industry Sales Growth, Some Pressure on Margins

Shopify can keep gaining market share in 2027 as AI investments over the past two years support merchant growth and larger businesses migrate to its platform. Our scenario analysis suggests 24-28% revenue growth, driven by another strong year for Merchant Solutions at 27-31% and 14-16% growth in Subscription Solutions.

Merchant Solutions' take rate appears poised to stabilize after several years of gains. Its faster growth should also keep pressure on Shopify's gross margin because the segment accounts for 77% of trailing 12-month sales and carries a gross margin of about 38%, well below Subscription Solutions' roughly 80%. Our scenario analysis suggests 2027 non-GAAP gross margin of 46-47% and operating margin of 16.5-18.5%, about 100 bps below 2026. That framework points to 2027 non-GAAP EPS of $2.30-$2.50.

Consensus projects 25% revenue growth in 2027, including 27% for Merchant Solutions and 18% for Subscription Solutions. Consensus operating margin of 19.4% implies about 100 bps of expansion. (08/12/26)

BI Shopify Scenario (Click to Download)



21. Another Strong Year for Merchant Solutions Unit

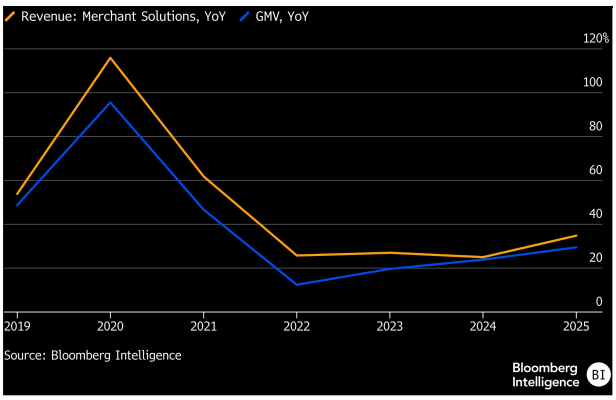
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Bloomberg Intelligence

Sales growth in Shopify's Merchant Solutions segment has a strong correlation to the merchant volume transacted on its platform. In the past few years, this segment's sales growth has outpaced the increase in gross merchandise value (GMV) because of a steady increase in take rate driven by higher-value services. However, we expect 2027's take rate to be flat vs. 2026, largely due to increased contribution from larger merchants, which we believe have far lower yield than Shopify's traditional customer. Consequently, we expect both Merchant Solutions sales and GMV to increase 27-31% in 2027. (08/11/26)

Merchant Solutions Sales Growth vs. GMV Gains



22. Shopify Plus, New Shops Lift Subscription Growth

Subscription Solutions 2027 sales can increase 14-16%, driven by new merchants coming online and midsize merchants upgrading to the Shopify Plus plan. Sales of this segment rose 17.1% in 2024 and will likely be around 21% in 2026. We expect some moderation in the rate of growth in 2027.

Shopify offers Basic, Grow, Advanced and Plus tiers, with Plus aimed at more complex businesses and offering features including unlimited staff accounts, customizable checkout and expanded business-to-business capabilities. (08/11/26)

Subscription Solutions Sales Growth



23. Enterprise Mix May Cap Take-Rate Gains

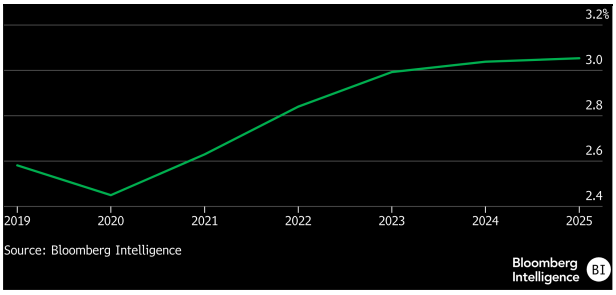
Take rate -- the ratio of Merchant Solutions revenue to GMV for a given period -- is a key driver of the segment's sales. We expect the metric to be flat at 2.35% in 2027 vs. 2026, as pressure from higher volume among larger merchants offsets strong adoption of Shop Pay. In the most recent quarter, Shop Pay penetration reached 68%, up from 45% in 2020. This should continue as Shop Pay expands into new geographies.

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Product attach rate, defined as total revenue divided by GMV, includes both the Merchant Solutions and Subscription Solutions segments. The metric has improved steadily over the past several years, rising to 3.05% in 2025 from 2.58% in 2019. We calcluate it will be about 3% in 2027. (08/11/26)

Product Attach Rate

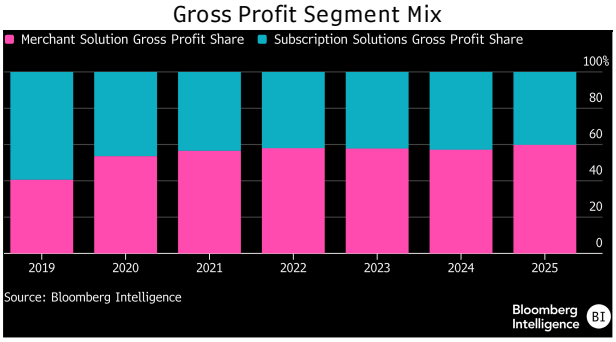


24. Mix Shift Can Pare Gross and Operating Margins

Shopify's operating margin may contract 50-100 bps to 16-17% in 2027 as faster growth in lower-margin Merchant Solutions pressures gross margin. Gross margin declined to 48.1% in 2025 from 50.5% in 2024 as Merchant Solutions outpaced Subscription Solutions. The mix shift could push gross margin to 46-47% by 2027, though accelerating subscription gains might moderate the decline.

Investment in AI-related R&D could limit operating-expense leverage, preventing Shopify from fully offsetting the weaker gross margin. Lower operating profitability may restrain free-cash-flow margin at 15-16% in 2027. (08/11/26)

Gross Profit Segment Mix



Enterprises: Next Sales Driver

Shopify's Next Big Growth Driver Likely Large-Merchant Migration

Shopify's fast pace of innovation and AI investments could help garner market-share gains over the medium term, especially among larger enterprises, which we think will be the next big sales-growth driver. Larger merchants traditionally haven't been Shopify's core customers, and have either depended on in-house solutions or used traditional software providers like SAP, Salesforce or Oracle. (08/11/26)

25. Likely Continues Capturing Market Share

Shopify's ability to churn out new product features due to more tech investments and the lower total cost of ownership for clients are two factors which should help the company keep gaining share in digital commerce software. Shopify's market share grew to 21.8% of the total market in 2025 from

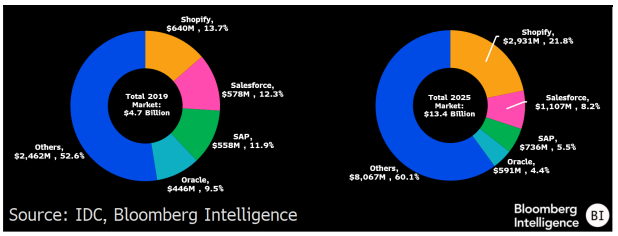
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13.7% in 2019, based on IDC data. During this period, its sales rose an average 28.9% a year, while the total market grew 19.2%.

We think large-merchant migration to Shopify will be a major growth driver, followed by international expansion. There's no reason why Shopify can't control over one-third of the market in the long term, as higher AI investments further increase the gap between the leader and the rest of the market participants. Other category leaders such as Salesforce in sales automation, and ServiceNow in IT service management have nearly 40% of market share. (08/11/26)

Digital Commerce Applications Market Share (%)

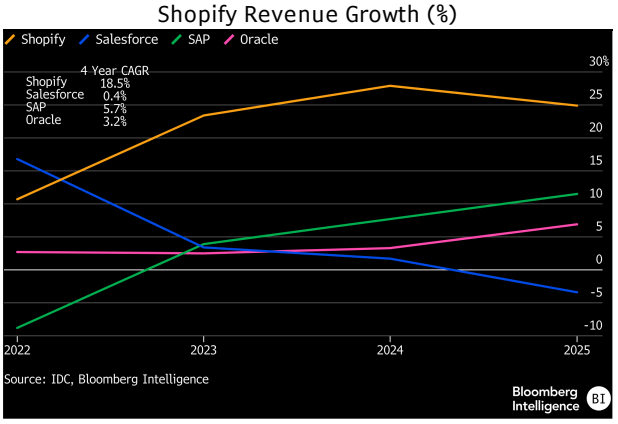


26. Lower Ownership Cost Prompts Big-Merchant Moves

Reduced total cost of ownership (TCO) is helping Shopify gain market share, especially as enterprises move to Software-as-a-Service offerings like what Shopify offers, and away from maintaining their own commerce infrastructures on-premise. On recent conference calls, Shopify has mentioned several notable migrations like Suitsupply, Benetton Group and Reitmans. It has also publicly posted a use case where a B2B vendor (Carrier) that embraced Shopify reduced its cost of creating an e-commerce solution from $2 million to just $100,000 and cut the launch time to 30 days from 9-12 months.

Salesforce doesn't disclose sales of its Commerce products, but IDC data show that sales have declined 1% annually in the past two years, while Shopify's two-year revenue growth has averaged 26.4%. We attribute this major market shift to Shopify's aggressive AI investments. (08/11/26)

Shopify Revenue Growth (%)



27. Offline, Global Expansion Aids Enterprise Wins

Shopify's greater push for Point of Sales (POS) or offline commerce during Covid is and will likely remain a key factor in adding larger merchants to its platform, which in most cases have both an online and a physical presence. Investing more in POS and inventory systems has helped strengthen Shopify's platform, which gives merchants a unified view of both their digital and physical purchases as well as their inventory levels across both channels.

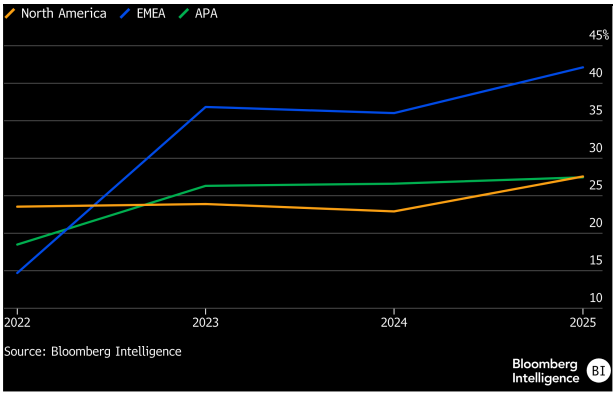
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International expansion will help Shopify continue to attract larger and multinational brands. We expect AI to help Shopify merchants to accelerate their international push by enabling quicker launches in new geographies including localized pricing and region-specific products. (08/11/26)

Shopify Revenue Growth by Region (%)



28. Shopify Catalog Strengthens Value Proposition

Shopify's new catalog, with over 1 billion products and targeted toward agentic commerce, could strengthen the value proposition for large enterprises to embrace its commerce platform. It's a centralized, standardized data index that aggregates and structures product information across Shopify's merchant network. This catalog connects directly into AI-first applications like ChatGPT and Microsoft Copilot and is built on Universal Commerce Protocol, which we believe will be key to wider adoption of agentic commerce.

Shopify investing greater resources toward its partners, including most major consulting companies, can also help accelerate large-merchant migration. (08/11/26)

Bloomberg Transcript

"We believe that new and emerging AI channels, places like ChatGPT, Microsoft Copilot, Google AI services and Meta will be a tailwind to driving e-commerce growth and penetration over time... We are the only platform that enables discovery and selling inside ChatGPT, Copilot and Google, all from one single system of record. And the early signals on AI channels are really compelling. And in the first quarter, AI-driven traffic to Shopify stores has grown 8x year-over-year, while orders from AI-powered searches have increased nearly 13x. And within this, new buyer orders are occurring at nearly twice the rate of other channels."

Harley Finkelstein - President, Shopify, Inc.
Q1 2026 Earnings Call, May 2026

Click to view entire transcript

Chart Book

Company

Shopify Multichannel Software Challenges Legacy Commerce Vendors

Shopify is a cloud-based application-software provider focused on commerce tools that let merchants sell across channels like social, mobile and in-store. Its modular platform supports faster feature rollouts than many legacy commerce suites. Though it's historically skewed toward entrepreneurs and small businesses, we see the next leg of growth from larger enterprises that have typically used providers like Salesforce and SAP. Of Shopify's $11.6 billion revenue base, about 76% is from merchant

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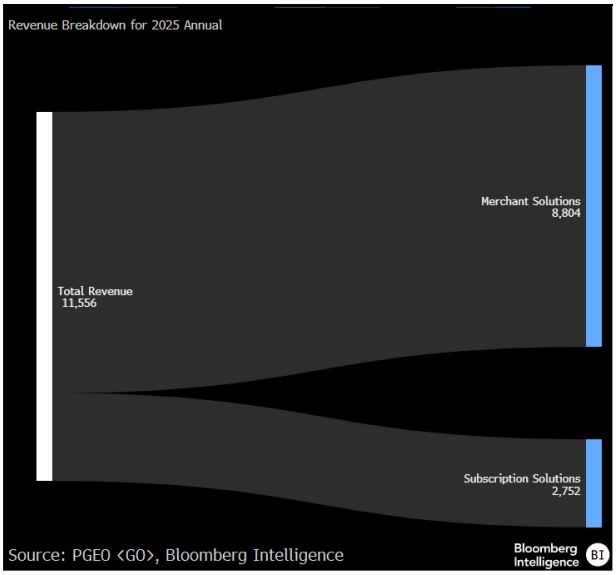
solutions such as payments, international and business-to-business services, with the rest from from subscriptions.

To access live data and charts, please click on the links under the images below. (03/11/26)

29. Merchant Solutions Over 70% of Total Sales

(03/11/26)

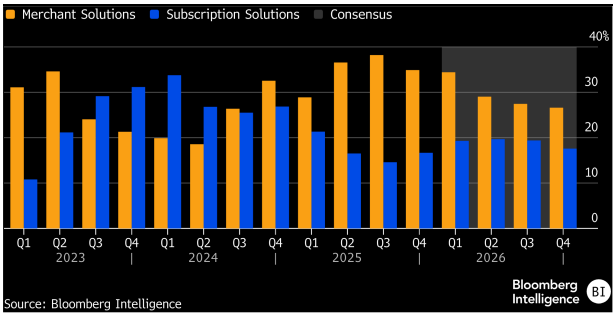
Fiscal 2025 Revenue Breakdown ($ Million)



30. Merchant Tools Can Keep Outpacing Subscriptions

(03/11/26)

Merchant vs. Subscription Solutions Growth (%)



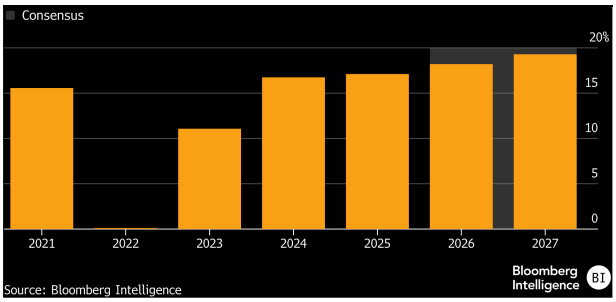
31. Margin Recovery Since Logistics Divestiture

(03/11/26)

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Adjusted Operating Margin (%)



Peers

Shopify's Cloud Commerce Lead Supports AI-Driven Share Gains

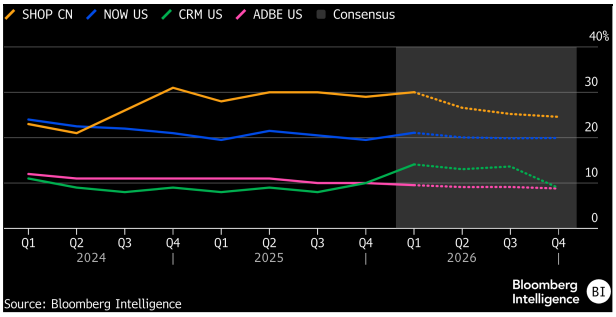
Shopify has about a quarter of 1H25's $10.2 billion annual run-rate market for cloud digital commerce, about 14 percentage points ahead of nearest rival Salesforce, based on IDC data. We expect that share to keep climbing over the next few years as the company outgrows the market and peers, supported by larger-merchant wins and international expansion. A recent push to exand internal AI tools and embed AI features for merchants can improve efficiency and help Shopify add volume with less incremental cost than in prior cycles.

To access live data and charts, please click on the links under the images below. (03/11/26)

32. Expanding Ahead of Application-Software Peers

(03/11/26)

Sales Growth in Constant Currency (%)



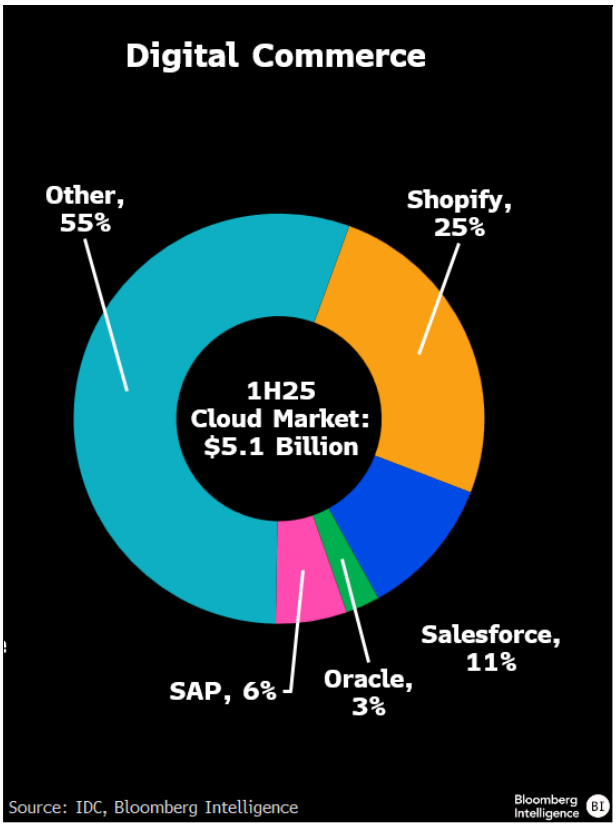
33. Leading Provider in Cloud Digital Commerce

(03/11/26)

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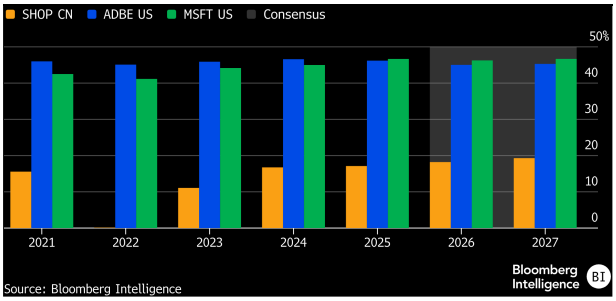
Cloud Digital-Commerce Market Share



34. Profitability Gap Likely to Narrow vs. Peers

(03/11/26)

Adjusted Operating Margin (%)



Industry Themes

Agentic Commerce Opportunity

Agentic Commerce Will Lift Conversion, Shift Profit Higher

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Agentic commerce could lift 2026 US e-commerce sales by nearly 5%, or about $96 billion, if 13% of spending shifts into semi-agentic shopping experiences that generate 37% higher revenue per visit, based on our analysis. Shopping is moving from keyword search toward guided conversational tools,

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with search fields increasingly acting as gateways where a shopper's first question shapes both purchases and profits. Amazon.com, eBay, Etsy, Shopify and Walmart are moving toward systems that interpret context, ask follow-up questions and narrow choices rather than return long product lists. (05/21/26)

35. Low- to Mid-Single-Digit Boost From Agentic

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Agentic commerce may add $48-$96 billion to 2026 US e-commerce sales, or a 2.4-4.8% uplift. Adobe's AI-traffic data supports that: AI-referred retail traffic rose 393% year over year in 1Q, with conversion up 42% and revenue per visit up 37% in March. Agentic search turns the search bar into a guided interface that interprets intent, asks questions, narrows options and reduces friction that leads to abandonment. Amazon's Alexa-for-Shopping integration and ChatGPT's growing role in product discovery show how platforms are moving from keyword retrieval to guided decision-making.

Our calculation uses a $1.9 trillion US e-commerce sales estimate and an assumption that 13% of sales migrate to semi-agentic shopping flows, with revenue per visit up 18.5% in the mid-case and 37% in the high-case, based on Adobe's benchmark. (05/21/26)

Agentic Commerce Uplift Model

US Ecommerce Agentic Commerce Scenario

Input	Value	Units	Source/Note
2025 US ecommerce sales	1,985,529	$ Billions	BI estimate - MMDL 879212477
Assumptions for % of Ecommerce Sales Agentic in 2026			
BI Assumption of agentic share	13.0%	%	BI estimate - MMDL 879573967
Sales uplift assumptions across Ecommerce from Agentic search			
Middle-end assumption of sales uplift	18.5%	%	Half of Adobe's 37% revenue/visit uplift
Adobe's latest sales uplift	37.0%	%	Adobe 2026 Q2 AI Traffic Report revenue/visit uplift

Scenario	US ecommerce sales base ($bn)	Agentic share	Agentic Sales Uplift	Incremental monetization ($bn)	Implied total uplift
Base	1,985,529	13%	18.5%	47,752	2.4%
Upside	1,985,529	13%	37.0%	95,504	4.8%

Source: Bloomberg Intelligence

36. AI-Driven Traffic Gains Across Sectors

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

(05/21/26)

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Growth in AI Visit Share by Industry

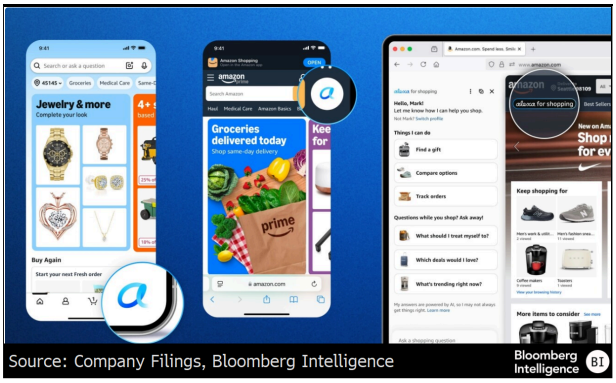


37. Amazon Shows Agentic Can Lift Traffic Profitability

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Amazon's deeper Alexa-for-Shopping integration, formerly Rufus, shows how agentic commerce can improve profitability by raising conversion on traffic it already owns. Because most of Amazon's shopping traffic is direct or organic, the main benefit is not incremental visits, but better monetization of existing demand as the agent takes over tasks once handled through manual search, comparison and refinement. A more conversational shopping flow should let users ask follow-up questions, compare products, track prices and move toward checkout in a single path, raising gross merchandise value per visit. That should lift retail profitability by increasing sales productivity on existing traffic and support advertising profit by matching sponsored placements with clearer, higher-intent shopping missions. (05/21/26)

Alexa For Shopping



38. Marketplaces Can Use Agents to Recover Lost Intent

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Marketplaces like eBay and Etsy can use agentic shopping tools to recover intent lost in keyword search. That matters most where inventory is broad, fragmented or highly differentiated, and shoppers begin with only a rough sense of what they want. eBay's AI shopping agent and Etsy's OpenAI-linked push support a model in which the agent handles more filtering, ranking and narrowing before

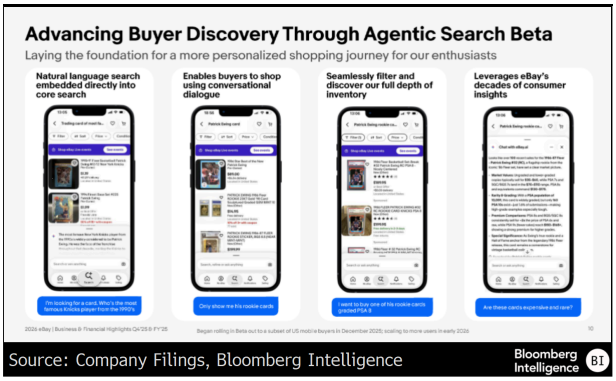
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the shopper decides. That should improve conversion by reducing browsing fatigue and abandonment during discovery. The platforms should benefit through stronger listing productivity and ad monetization, while sellers may see better sell-through but mixed margin effects if agent-led visibility demands sharper pricing, better data or more paid promotion.

Etsy just debuted its app within ChatGPT. (05/21/26)

EBay's Agentic-Search Beta



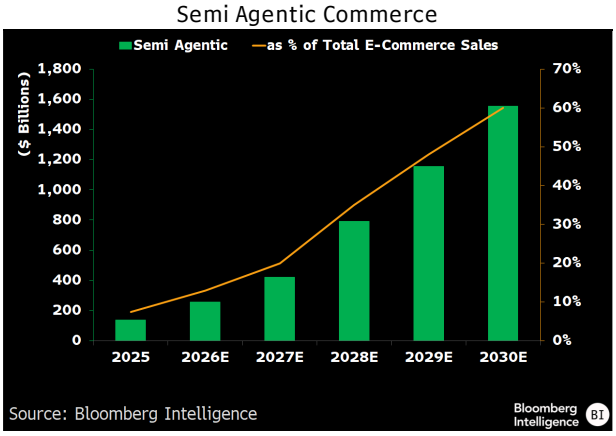
39. Retailers Should Use Agents to Raise Funnel Efficiency

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Retailers can use agentic commerce to boost efficiency by combining search, comparison and purchase into one flow, making owned traffic more productive. Walmart's Sparky shows large retailers trying to cut friction between a product question and a transaction, especially in categories where comparison is time-consuming. That supports conversion by reducing the points where shoppers leave to search again, compare elsewhere or delay a decision. The profit logic is strongest for retailers that steer more shoppers through owned channels, since agents improve 1P data capture and reduce reliance on paid search or affiliate traffic. Margin upside will vary, as retailers still need to fund AI tools, merchandising and fulfillment to stay competitive.

Semi-agentic commerce can top $1.5 trillion by 2030, or 60% of e-commerce sales. (05/21/26)

Semi Agentic Commerce



40. Better Merchant Data Should Convert More Orders

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

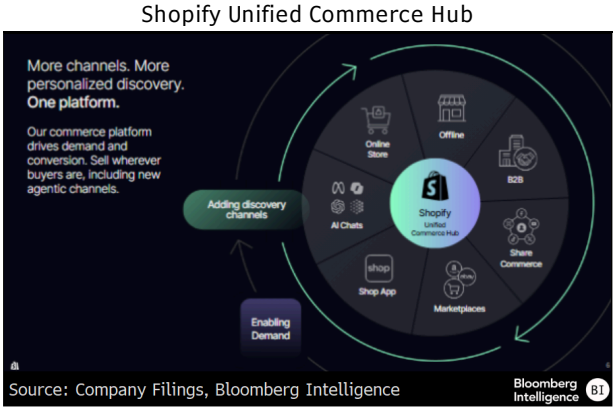
Better merchant data should become a driver of conversion as conversational commerce scales, because product data quality will shape who wins traffic, who converts it and who captures the

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economics of AI-led commerce. Shopify's comments that AI-driven traffic to stores has risen and orders from AI-powered search have increased even faster suggest agent-led discovery can generate more qualified traffic closer to purchase. Structured product data, live inventory, pricing accuracy and fulfillment visibility should matter more because shopping agents depend on machine-readable inputs. That should improve conversion for merchants with cleaner catalogs and stronger feeds. Profit should improve first at Shopify, because better order conversion lifts the value of subscriptions, payments and merchant services across its broad base. (05/21/26)

Shopify Unified Commerce Hub

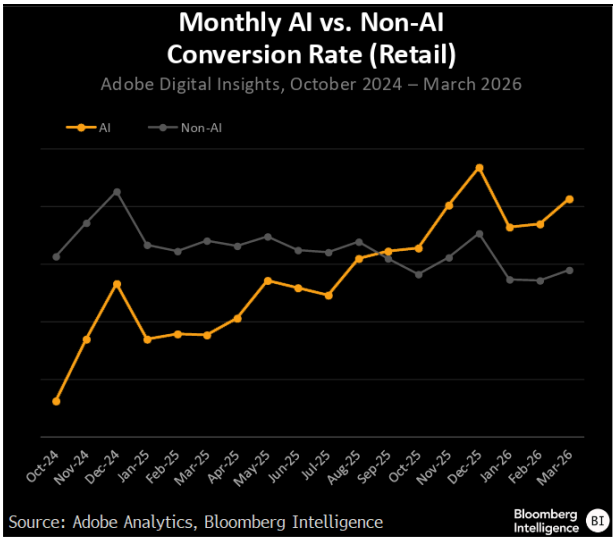


41. Search Bars Will Become Conversational Commerce Gateways

Contributing Analysts Poonam Goyal (Retail) & Sydney Goodman (Retail)

Search bars will evolve into conversational commerce gateways because the first interaction with shopping intent should increasingly determine conversion and monetization. Amazon, eBay, Etsy, Shopify and Walmart are moving toward systems that interpret context, ask follow-up questions and guide users to a narrower set of relevant choices rather than presenting long product lists. That should lift conversion because shoppers will spend less time reformulating queries and more time evaluating a smaller decision set. Over time, more e-commerce profit should shift toward platforms that control AI-led discovery and checkout, because they can monetize purchase-ready traffic through ads, merchant services, payments and fulfillment. (05/21/26)

AI vs. Non-AI Conversion Rate



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